

## LABOUR LAW - II : UNIT III

### EMPLOYEES' SECURITY & WELFARE — EC ACT 1923 & ESI ACT 1948

LL.B (3-YDC) IV Semester | Osmania University - Faculty of Law

 TARGET: 75+ MARKS | UNIT III COVERAGE: 100%

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| Section | Topic                                             | Stars |
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| C.4     | Worker earning Rs.25,000 covered under ESI?       | ★★★★  |
| C.5     | Employer fails to pay compensation within 1 month | ★★★★  |

## UNIT III — OVERVIEW & SYLLABUS SCOPE

### ★★★★★ HIGHEST PRIORITY UNIT

Unit III is the **BACKBONE** of social security law in India. It deals with two major legislations:

1. **Employees' Compensation Act, 1923** (formerly Workmen's Compensation Act)
2. **Employees' State Insurance Act, 1948**

Both are foundational social security laws and almost always appear in exams.

### What's IN Unit III

- **Social Security** — Concept, meaning
- **Social Insurance** vs. **Social Assistance**
- Social Security Legislations overview
- **Employees' Compensation Act, 1923:**
  - Definitions (employee, employer, wage, accident)
  - Employer's liability — "arising out of and in course of employment"
  - Nexus between injury and employment
  - Notional extension doctrine
  - Occupational diseases
  - Payment of compensation
  - Penalty for default
- **Employees' State Insurance Act, 1948:**
  - Application
  - Benefits under the Act
  - Adjudication of disputes and claims
  - ESI Corporation
  - Insurance Court

### What is NOT in Unit III

-  Wages, Code on Wages 2019 → Unit I
-  Bonus, Full Bench Formula → Unit II
-  Gratuity, EPF, Maternity → Unit IV
-  Factories Act, Child Labour, Equal Pay → Unit V

## 🎯 Expected Exam Questions from Unit III

- **Part A:** 1-2 short notes (Notional Extension, ESI Corporation, Occupational Diseases almost certain)
- **Part B:** Likely 1 long essay (Employer's Liability OR ESI Benefits)
- **Part C:** Possibly 1 problem (employee definition / injury during commute)

## ⚠ Critical Numbers to Memorize

- **EC Act:** 1923 (originally Workmen's Compensation Act)
- **ESI Act:** 1948
- **B.P. Adarkar Committee:** 1944 report
- **ESI scheme inaugurated:** 24 February 1952, Kanpur
- **EC Act wage ceiling:** Rs.15,000/month
- **ESI wage ceiling:** Rs.21,000/month (Rs.25,000 for disabled)
- **ESI factory threshold:** 10+ with power; 20+ without power
- **Employer ESI contribution:** 3.25%
- **Employee ESI contribution:** 0.75%
- **EC Act death compensation:**  $50\% \times \text{wage} \times \text{factor}$  OR Rs.1,20,000 (higher)
- **EC Act PTD compensation:**  $60\% \times \text{wage} \times \text{factor}$  OR Rs.1,40,000 (higher)
- **EC Act temporary disablement:** 25% of monthly wage
- **EC Act delay interest:** 12% per annum
- **EC Act limitation:** 2 years from accident/death

## PART A — SHORT NOTES (6 marks each)

### A.1 — Social Security — Concept ★★★★★

**Definition (ILO):** Social Security means the **protection society provides** to its members through a series of public measures against the **economic and social distress** caused by:

- **Sickness**
- **Injury** (especially employment injury)
- **Old age**
- **Unemployment**
- **Maternity**
- **Death** (loss of breadwinner)
- **Disablement**

**Origin:** The concept was first introduced in **Germany** in 1880s under Bismarck. Internationally promoted by the **International Labour Organization (ILO)** since 1919.

**Goals of Social Security:**

- Income security in times of distress
- Access to healthcare
- Protection against poverty
- Social cohesion
- Implementation of human rights

#### Constitutional Basis in India:

- **Article 39** — Adequate means of livelihood
- **Article 41** — Right to work, education, public assistance
- **Article 42** — Just and humane conditions, maternity relief
- **Article 43** — Living wage, decent standard

#### Two Components of Social Security:

- **Social Insurance** — contributory (covered next)
- **Social Assistance** — non-contributory (covered next)

 **Example:** A factory worker who gets sick and is unable to work receives sickness cash benefit from ESI (social insurance). An aged person below poverty line gets Indira Gandhi National Old Age Pension (social assistance).

 **TIP:** Always link to Articles 39, 41, 42, 43 for constitutional grounding.

## A.2 — Social Insurance & Social Assistance ★★★★★

**Social Security has TWO components** — different in funding, eligibility, and benefits.

### Social Insurance

**Definition:** A **CONTRIBUTORY** scheme where employer, employee, and sometimes State contribute to a common fund. Benefits are linked to contributions made.

#### Features:

- **Contributory** — periodic contributions from members
- **Benefits as a right** for contributors
- Linked to employment relationship
- Common pool of funds
- Risk pooling among contributors

#### Examples in India:

- **ESI Act, 1948** — health insurance + cash benefits
- **EPF Act, 1952** — provident fund + pension
- **Maternity Benefit Act, 1961** — paid maternity leave
- **Payment of Gratuity Act, 1972** — long service reward

## Social Assistance

**Definition:** A **NON-CONTRIBUTORY** scheme funded entirely by government revenue. Benefits given on **need basis** (means-tested).

### Features:

- **Non-contributory** — no payment required from beneficiary
- **Need-based eligibility** (means test)
- Targets the **poor and vulnerable**
- Funded from tax revenue
- Implemented by government

### Examples in India:

- **Indira Gandhi National Old Age Pension Scheme**
- **National Family Benefit Scheme**
- **MGNREGA** (employment guarantee)
- **PM-KISAN** (income support for farmers)
- **Public Distribution System (PDS)**
- **Antyodaya Anna Yojana**

## Comparison Table

| Feature     | Social Insurance                            | Social Assistance        |
|-------------|---------------------------------------------|--------------------------|
| Funding     | Contributions (Employer + Employee + State) | Government revenue only  |
| Eligibility | Membership (employment-based)               | Need (means-tested)      |
| Benefits    | Linked to contribution                      | Uniform/standardized     |
| Coverage    | Formal/organized workers                    | Poor/vulnerable groups   |
| Examples    | ESI, EPF, Maternity                         | Old Age Pension, MGNREGA |

📌 **Example:** A factory worker pays 0.75% to ESI; employer pays 3.25%. He gets medical care when sick = **Social Insurance**. A landless agricultural labourer over 60 years gets monthly Rs.500 pension from State = **Social Assistance**.

💡 **TIP:** Mnemonic — “**Insurance** = I Pay, I Get; **Assistance** = State Gives, **Need-Based**”

## A.3 — Social Security Legislations in India ★★★★★

**Definition:** India has built a comprehensive legal framework for social security through multiple legislations enacted over the decades. The aim is to provide protection to workers against various economic and social risks.

### Major Indian Social Security Legislations:

### *1. Employees' Compensation Act, 1923*

- **Earliest** social security law in India
- Originally "Workmen's Compensation Act"
- Compensates workers for **workplace injuries**
- Based on **no-fault liability**

### *2. Employees' State Insurance Act, 1948*

- **Health insurance + cash benefits** for industrial workers
- Tripartite contribution (Employer + Employee + State)
- Administered by ESI Corporation

### *3. Employees' Provident Funds & Miscellaneous Provisions Act, 1952*

- **Retirement savings** through compulsory PF
- Three schemes: PF, Pension, EDLI

### *4. Maternity Benefit Act, 1961 (Amended 2017)*

- **Paid maternity leave** for women workers (26 weeks)
- Crèche facility, medical bonus, etc.

### *5. Payment of Gratuity Act, 1972*

- **Lump-sum gratuity** for long service (5+ years)
- Maximum Rs.20 lakh

### *6. Unorganised Workers' Social Security Act, 2008*

- Coverage for **unorganized sector workers**
- Welfare schemes for street vendors, construction workers, etc.

### *7. Code on Social Security, 2020*

- **Consolidates 9 social security laws** into one Code:
  - Employees' Compensation Act, 1923
  - ESI Act, 1948
  - EPF & MP Act, 1952
  - Maternity Benefit Act, 1961
  - Payment of Gratuity Act, 1972
  - Cine Workers Welfare Fund Act, 1981
  - Building & Other Construction Workers Welfare Cess Act, 1996
  - Unorganised Workers' Social Security Act, 2008
  - Employment Exchanges (Compulsory Notification of Vacancies) Act, 1959

### **Constitutional Basis:**

- **Articles 39, 41, 42, 43** — Directive Principles
- **Article 21** — Right to life with dignity (includes economic security)
- **Article 23** — Prohibition of forced labour

 **Example:** A worker injured at workplace gets compensation under EC Act (1923); covered for sickness under ESI (1948); contributes to retirement under

EPF (1952); his wife gets 26 weeks maternity leave under MB Act (1961); on retirement, gets gratuity under PG Act (1972). All consolidated under Code on Social Security, 2020.

💡 **TIP:** Remember chronologically — 1923, 1948, 1952, 1961, 1972, 2008, 2020.

## A.4 — Employer's Liability under EC Act, 1923 ★★★★★

**Provision:** Section 3 of Employees' Compensation Act, 1923.

**Basic Rule:** If an **employee** suffers **personal injury** by **accident arising out of and in the course of employment**, the **employer is liable** to pay compensation — regardless of fault.

**Nature of Liability:**

- **No-fault liability** — employer is liable even without negligence
- Worker doesn't need to prove employer's fault
- Replaces tort-based remedies
- Industrial accidents are considered "cost of production"

**Three-Part Test for Liability [Section 3(1)]:**

### 1. *Personal Injury*

- Physical injury (visible or invisible)
- Mental/psychological trauma (e.g., nervous shock)
- Occupational diseases (Schedule III)

### 2. *Caused by Accident*

- Unexpected, unintended occurrence
- Includes strain, heart attacks, strokes
- Even self-inflicted unintentional injury

### 3. *Arising Out Of AND In the Course of Employment*

- **"Arising out of"** — causal connection with work
- **"In the course of"** — during work time/place
- Both elements must be present

**Exceptions [Proviso to Section 3(1)]:**

Employer is NOT liable if:

- Disablement does not exceed 3 days
- Injury (NOT death/PTD) caused by:
  - Worker under influence of **alcohol/drugs**
  - **Wilful disobedience** of safety rules
  - **Wilful removal** of safety guards

**Important:** These exceptions DO NOT apply to **DEATH** or **PERMANENT TOTAL DISABLEMENT** — employer is liable regardless of worker's

contributory negligence.

🚧 **Case:** *Jyothi Ademma v. Plant Engineer, NTPC (2006)* — Heart attack during work compensable.

🚧 **Case:** *Mackinnon Mackenzie v. Ibrahim (1969)* — Seaman heart attack on duty = compensation payable.

📌 **Example:** A factory worker is hit by a falling part of machinery and is injured. The employer is liable regardless of whether the worker was careful or not — this is “no-fault liability” under Section 3.

## A.5 — Nexus between Injury and Employment ★★★★★

**Concept:** For compensation to be payable under EC Act, 1923, there must be a **CAUSAL CONNECTION (NEXUS)** between the employment and the injury. This is captured in the phrase “**arising out of and in the course of employment**”.

### Two-Part Test:

#### “Arising out of Employment”

- The CAUSE of injury must lie in employment
- Employment created the risk that led to injury
- Even partial connection enough
- Natural cause aggravated by work — covered

#### “In the Course of Employment”

- The injury occurred during **time/place** of work
- During working hours or notional extension
- At workplace or its reasonable extension

**Both must be satisfied** for compensation.

### Tests Applied by Courts:

1. Was the injury suffered during working hours / extension?
2. Was the worker acting in **employer’s interest**?
3. Was the work itself a **contributing factor**?
4. Was the injury foreseeable from the nature of work?

### Doctrine of Added Peril:

- If worker undertakes a related but additional risk in employer’s interest — still covered
- If worker undertakes a **TOTALLY EXTRANEIOUS** risk for personal purpose — NOT covered

📌 **Example:** A worker climbs a crane to fix a breakdown — covered (in employer’s interest). Worker climbs crane out of curiosity — not covered (extraneous risk).



⚖️ **Case:** *Saurashtra Salt Manufacturing v. Bai Valu Raja (1958)* — Workers drowned while crossing creek to reach salt works = compensable (nexus established through notional extension).

⚖️ **Case:** *Mackinnon Mackenzie v. Ibrahim (1969)* — Seaman heart attack on duty = compensable. Work strain contributed to heart condition.

⚖️ **Case:** *Jyothi Ademma v. NTPC (2006)* — Cardiac death at work = compensable.

⚖️ **Case:** *B.E.S.T. v. Mrs. Agnes (1964)* — Bus conductor killed while travelling home in BEST bus = covered (continuing employment relationship).

📌 **Example:** A truck driver dies of heart attack while driving company truck — sufficient nexus established; compensation payable. Same driver dies of heart attack at home — no nexus; not payable.

💡 **TIP:** Mnemonic — “**Out + In = Compensation**” — arising OUT of AND IN the course of employment.

## A.6 — Notional Extension (Doctrine) ★★★★★

**Definition:** A judicial doctrine that EXTENDS the employer’s liability for injuries occurring **shortly before entering or after leaving** the workplace, even though the worker is not strictly “at work.”

**Principle:** Employment doesn’t begin only at the factory gate and end at the gate. There is a **notional extension of time and place** — covering reasonable approach to and departure from workplace.

### Why Required:

- Strict interpretation would exclude many genuine injuries
- Workers travelling to/from work face employer-related risks
- Justice requires reasonable extension of coverage
- Courts have developed this doctrine progressively

### Three Tests Used by Courts:

#### 1. Time Test

- Injury occurred just before reporting or just after leaving
- Reasonable time around work hours

#### 2. Place Test

- Injury occurred at a place closely connected to workplace
- E.g., approach road, parking, employer-provided transport

#### 3. Purpose Test

- Worker was acting in connection with employment
- Going to or returning from work
- Not on a personal detour

🚧 **Case:** *Saurashtra Salt Manufacturing Co. v. Bai Valu Raja (1958)* — Workers drowned while crossing a creek to reach the salt works. Supreme Court held this was “in the course of employment” under notional extension.

🚧 **Case:** *B.E.S.T. Undertaking v. Mrs. Agnes (1964)* — Bus conductor killed while travelling home in a BEST bus = held to be in course of employment.

🚧 **Case:** *General Manager, BEST v. Agnes (1964)* — Doctrine of notional extension recognized authoritatively by SC.

📌 **Example:** A factory worker is hit by a vehicle while crossing the road just outside the factory gate to enter — falls under notional extension; employer is liable.

📌 **Example:** A worker reaches the bus stop at the company’s premises 10 minutes early to catch the company-provided bus. He is hit by a vehicle while waiting. This falls under notional extension.

### Limits of Notional Extension:

- Cannot stretch too far — worker on personal errand not covered
- Must have reasonable proximity in time and place
- Worker must have been on the way to/from work directly

💡 **TIP:** Notional extension = employer’s “umbrella” stretches slightly **outside** the workplace too.

## A.7 — Occupational Diseases ★★★★★

**Definition:** Diseases **directly arising out of and in the course of employment** due to exposure to harmful working conditions or substances. Listed in **Schedule III of the Employees’ Compensation Act, 1923.**

### Significance:

- Worker **need not prove accident** — the disease itself is deemed as employment injury
- Employer cannot escape liability by claiming “no specific accident”
- Broad protection for industries with hazardous exposure

### Three Categories under Schedule III:

#### *Part A: No Specific Employment Period Required*

- Compensable from day one of exposure
- Diseases include:
  - **Anthrax**
  - **Lead poisoning**
  - **Mercury poisoning**
  - **Phosphorus poisoning**

### *Part B: After Minimum 6 Months of Employment*

- Worker must have been in such employment for at least 6 months
- Diseases include:
  - **Silicosis**
  - **Asbestosis**
  - **Pneumoconiosis** (lung diseases from dust)

### *Part C: After Longer Periods of Service*

- Specified longer periods of employment
- Diseases include:
  - **Byssinosis** in cotton industry (after prolonged exposure)
  - Other industry-specific chronic conditions

### **Conditions for Coverage:**

- Worker must have worked in specified employment
- Disease must be listed in Schedule III
- Disease must have arisen during/due to employment
- Specified time period (Part B/C) must have elapsed

### **Procedure:**

- Worker (or dependants if death) makes claim
- Medical evidence of disease
- Connection with specified employment
- Commissioner determines compensation

 **Example:** A worker in an **asbestos factory** develops **asbestosis** after **8 months** of employment. Since asbestosis is in Part B and worker has completed 6 months, he is entitled to compensation as occupational disease — no accident need be proved.

 **Case:** *Mackinnon Mackenzie v. Ibrahim (1969)* — Recognized work-induced health deterioration as compensable.

 **Example:** A coal miner develops silicosis after 7 months of underground mining. Compensable under Part B of Schedule III.

 **TIP:** Schedule III is comprehensive — covers anthrax, silicosis, asbestosis, byssinosis, lead/mercury/phosphorus poisoning, and many more.

## **A.8 — Payment of Compensation under EC Act** ★★★★★

**Provision:** Section 4 of Employees' Compensation Act, 1923.

**Concept:** Section 4 prescribes the FORMULA for computing compensation. Different formulas apply to different types of injuries.

## Categories of Compensation

### 1. Death

**Formula:**  $50\% \times \text{Monthly Wage} \times \text{Relevant Factor (Schedule IV based on age)}$ , OR Rs.1,20,000 — **whichever is HIGHER**

### 2. Permanent Total Disablement (PTD)

**Formula:**  $60\% \times \text{Monthly Wage} \times \text{Relevant Factor (Schedule IV)}$ , OR Rs.1,40,000 — **whichever is HIGHER**

### 3. Permanent Partial Disablement (PPD)

**Formula:** Percentage of compensation for total disablement, based on **loss of earning capacity** as specified in **Schedule I**

Examples from Schedule I:

- Loss of arm at shoulder — 90% of total compensation
- Loss of leg — 80%
- Loss of eye — 30%
- Loss of thumb — 30%

### 4. Temporary Disablement (TD)

**Formula:** **25% of monthly wage** payable as **half-monthly payment** until recovery (maximum 5 years)

## Wage Ceiling

- Monthly wage for calculation **capped at Rs.15,000**
- Higher actual wages are reduced to Rs.15,000 for formula
- May be revised by notification

## Schedule IV — Relevant Factors

- Age-based multipliers
- Younger workers get higher factors (more years of working life lost)
- Example: Age 25 — factor around 200; Age 55 — factor around 100

## Payment Procedure

- Compensation calculated and deposited with **Commissioner for Employee's Compensation**
- Commissioner distributes to dependants/worker
- Direct payment to worker valid only with consent

## Section 4-A — Penalty for Default

If employer fails to pay within **1 month** of becoming due:

- **Simple interest at 12% per annum**
- **Penalty up to 50% of compensation**

 **Example (Death):**

- Worker dies; monthly wage Rs.15,000; age 30 (factor 207)
- Formula:  $50\% \times \text{Rs.15,000} \times 207 = \text{Rs.15,52,500}$
- OR Rs.1,20,000 — Whichever HIGHER
- **Compensation payable: Rs.15,52,500**

#### 📌 Example (PTD):

- Worker permanently totally disabled; wage Rs.15,000; age 30
- Formula:  $60\% \times \text{Rs.15,000} \times 207 = \text{Rs.18,63,000}$
- OR Rs.1,40,000 — Whichever HIGHER
- **Compensation payable: Rs.18,63,000**

#### 📌 Example (TD):

- Worker temporarily disabled; wage Rs.20,000 (capped at Rs.15,000)
- Half-monthly payment:  $25\% \text{ of Rs.15,000} = \text{Rs.3,750}$  every 15 days
- Continues until recovery (max 5 years)

## A.9 — Penalty for Default in Payment ★★★★★

**Provision:** Section 4-A of Employees' Compensation Act, 1923.

**Concept:** If the employer fails to pay compensation within the time prescribed, the law imposes financial penalties to ensure timely payment.

### Payment Timeline

- Compensation must be paid as soon as it falls due
- The "due date" is decided by the **Commissioner**
- Typically within **1 month** of accident/death/award

### Penalties for Default

#### 1. Simple Interest at 12% per annum

- From the date compensation became due
- Until actual payment
- Mandatory — automatic

#### 2. Additional Penalty up to 50%

- If Commissioner finds the delay is **unjustified**
- May order penalty up to **50% of compensation amount**
- Order must be with reasons
- Employer given opportunity of hearing

### Recovery of Compensation

If employer still doesn't pay:

- Commissioner issues **recovery certificate to Collector**
- Recovered as **ARREARS OF LAND REVENUE**
- Attachment of property/bank accounts

- Sale of assets

### Other Consequences

- Cannot delay by claiming dispute (must deposit pending dispute)
- Bad faith may lead to civil/criminal liability
- Loss of reputation

### Example:

- Worker dies on 1 January 2024
- Compensation of Rs.10 lakh due
- Employer pays only on 1 January 2025 (1 year delay)
- **Interest:**  $12\% \times \text{Rs.10 lakh} \times 1 \text{ year} = \text{Rs.1,20,000}$
- **Penalty:** Commissioner finds delay unjustified, imposes 25% penalty = Rs.2,50,000
- **Total payable:** Rs.10 lakh + Rs.1.2 lakh + Rs.2.5 lakh = Rs.13.7 lakh

### Significance:

- Ensures timely payment to workers/dependants
- Strong deterrent against employer delays
- Compensation has time value
- Workers cannot wait for delayed justice

🔪 **Case:** *Pratap Narain Singh Deo v. Srinivas Sabata (1976)* — Compensation falls due from the date of accident; interest payable from then.

🔪 **Case:** *Ved Prakash Garg v. Premi Devi (1997)* — Justifying delay is rarely accepted; 50% penalty often awarded for clear non-compliance.

💡 **TIP:** Mnemonic — “**12% Mandatory; 50% Discretionary**” — interest is automatic, penalty is at Commissioner’s discretion.

## A.10 — ESI Corporation ★★★★★

**Provision:** Sections 3-4 of ESI Act, 1948.

**Constitution:** ESI Corporation (ESIC) is a **body corporate** established under the ESI Act, 1948 to administer the ESI scheme. Has perpetual succession, common seal, and can sue/be sued.

### Composition

ESIC has the following members:

- **Chairperson** — appointed by Central Government (usually Union Minister of Labour)
- **Vice-Chairperson** — appointed by Central Government
- **Members representing Central Government** (5)
- **Members representing State Governments** (one from each major State)

- **Members representing employers** (10)
- **Members representing employees** (10)
- **Members representing medical profession** (2)
- **Members of Parliament** (3 — 2 from Lok Sabha, 1 from Rajya Sabha)
- **Director-General** — Chief Executive Officer

### Powers and Functions

- **Administer the ESI Fund** — collect contributions, pay benefits
- **Determine rates of contribution** (subject to approval)
- **Provide medical care** through hospitals and dispensaries
- **Pay cash benefits** to insured persons
- **Run rehabilitation** and skill development programs
- **Establish ESI hospitals, dispensaries**
- **Make regulations** for administration
- **Promote research** on social security
- **Coordinate** with State Governments

### Bodies under ESIC

- **Standing Committee** — executive body for day-to-day management
- **Medical Benefit Council** — advises on medical benefit administration
- **Regional Boards** — at State level
- **Local Committees** — at district level

### Adjudicating Body

- **Employees' Insurance Court** — for disputes between insured persons and ESIC
- Civil courts have **NO jurisdiction**
- Appeal to High Court on substantial question of law

### Financial Resources

- Employer contribution (3.25% of wages)
- Employee contribution (0.75% of wages)
- State Government contribution (1/8th of medical benefit expenditure)
- Donations, grants

 **Example:** The ESI Corporation runs over **150 hospitals** and **1,500 dispensaries** in India. It provides medical care to **3+ crore insured persons** and their families — making it one of the largest health insurance organizations in the world.

### Significance:

- Independent statutory body
- Tripartite governance (government, employers, employees)
- Combined healthcare + cash benefits delivery
- Implements India's social security under Article 41

## A.11 — B.P. Adarkar Committee ★★ ★

**Background:** In 1943, the Government of India appointed **Professor B.P. Adarkar** to prepare a report on **health insurance for industrial workers**. This was a pioneering effort during World War II when worker welfare became increasingly important.

**Report (1944):** Adarkar submitted his report titled **“Report on Health Insurance for Industrial Workers”**, recommending a comprehensive **Workers’ Health Insurance scheme** covering:

- Sickness
- Maternity
- Employment injury
- Dependants’ benefits
- Medical care

### Key Recommendations:

- **Compulsory health insurance** for industrial workers
- **Tripartite financing** — Employer + Employee + State contributions
- **Integrated benefit delivery** — medical care + cash benefits
- **Statutory corporation** to administer
- **Coverage** of factories with 20+ workers initially
- **Adjudication** through specialized tribunals

### International Influence:

- Adarkar studied:
  - **Bismarck’s German model** (1880s)
  - **British National Health Insurance** (1911)
  - **ILO Conventions** on social insurance
- Adapted these to Indian conditions

### Outcome:

- Adarkar’s recommendations formed the basis of the **Employees’ State Insurance Act, 1948**
- India’s first major social insurance scheme
- ESI Act adopted most of his recommendations

### Inauguration of ESI Scheme:

- ESI Act passed in 1948
- Scheme inaugurated on **24 February 1952** at **Kanpur and Delhi**
- First Prime Minister **Pandit Jawaharlal Nehru** inaugurated

### Significance:

- Adarkar is considered the **“Architect of India’s Health Insurance”** for industrial workers



- His report shaped social security thinking in independent India
- ESI Corporation today owes its existence to his vision

 **Example:** When a factory worker in Tamil Nadu gets free medical treatment at an ESI hospital for an illness, the system traces back to B.P. Adarkar's 1944 report.

 **TIP:** Remember — “1943 Adarkar appointed, 1944 Report, 1948 ESI Act, 1952 Scheme inaugurated”.

## A.12 — Employees' Insurance Court ★★★★★

**Provision:** Section 74 of ESI Act, 1948.

**Constitution:** Each **State Government** constitutes an **Employees' Insurance Court** by notification — one or more, depending on State's needs.

**Composition:**

- **Single judge** — usually a judicial officer (often Civil Judge or above)
- Powers similar to a civil court
- May be a District Judge or specially appointed person

**Jurisdiction [Section 75]:**

The Court has exclusive jurisdiction over disputes regarding:

- **Disputes between insured persons and ESIC**
- **Disputes about contribution amounts** — whether employer should pay
- **Disputes about benefits** — eligibility, quantum, period
- **Recovery of contributions** and damages
- **Disputes about employment status** under ESI
- Whether an establishment is covered
- Any matter arising under the Act

**Important:** **CIVIL COURTS HAVE NO JURISDICTION** over ESI matters [Section 75(3)].

**Powers of the Court:**

- Same as civil court under CPC:
  - Summoning witnesses
  - Examining on oath
  - Requiring production of documents
  - Issuing commissions
- Decide questions of fact and law
- Pass orders enforceable as decrees

**Procedure:**

- Application filed in prescribed form

- Notice to opposite party
- Hearing with evidence
- Order/decreree with reasons

#### Limitation Period:

- Generally **3 years** from cause of action
- Some specific matters have shorter limitations

#### Appeal:

- Appeal lies to **High Court** on substantial question of law
- Within **60 days** from order
- High Court can also exercise review jurisdiction

#### Execution:

- Orders executed as civil court decrees
- Recovery through Collector if needed
- Property attachment, sale possible

 **Example:** A factory worker is denied sickness benefit by ESI Corporation claiming his contributions were insufficient. He files application in Employees' Insurance Court. Court examines records, finds his contributions adequate, orders ESIC to pay benefit with arrears. ESIC complies.

 **Case:** *ESIC v. F. Fibre Bangalore Pvt. Ltd. (1997)* — EI Court has exclusive jurisdiction over employee coverage disputes.

 **Case:** *Royal Talkies, Hyderabad v. ESIC (1978)* — EI Court can determine "establishment" status broadly.

 **TIP:** Remember — civil courts EXCLUDED; only Employees' Insurance Court can adjudicate ESI matters.

## PART B — LONG ESSAYS (15 marks each)

### B.1 — Employer's Liability under EC Act 1923 + "Arising out of and in course of employment" ★★★★★

 **STRUCTURE:** Introduction → Objectives → Scope → Three-Fold Test → "Arising out of" → "In course of" → Notional Extension → Added Peril → Exceptions → Compensation → Conclusion

#### Introduction

The **Employees' Compensation Act, 1923** (originally the **Workmen's Compensation Act**) was India's **FIRST social security legislation**. It is based on the principle of **NO-FAULT LIABILITY** — the employer is liable for compensation regardless of negligence by either party, as long as the injury arises out of and in the course of employment. It implements the social

philosophy that **industrial injuries are part of the cost of production**, and must be borne by the industry, not the individual worker.

### Objectives of the Act

- Provide **quick and certain compensation** to injured workers
- Eliminate the burden of proving negligence
- Replace tort-based remedies with statutory compensation
- Impose **moral and financial responsibility** on the employer for workplace accidents
- Foster **industrial peace** by removing dispute causes
- Implement the social policy of welfare State

### Scope and Application

- Applies to **factories, mines, plantations, railways, construction, motor transport, ports**, and others listed in Schedule II
- Covers workers drawing wages up to a notified amount (currently Rs.15,000/month for calculation purposes)
- Does NOT apply to:
  - Members of **armed forces**
  - Workers covered under **ESI Act, 1948** (single coverage rule)
  - Casual/temporary workers (depending on context)

### Three-Fold Test of Employer's Liability [Section 3(1)]

For an employer to be liable, **three conditions** must be satisfied:

#### 1. PERSONAL INJURY

- Physical injury — wounds, fractures, amputation
- Mental/psychological trauma — nervous shock, PTSD
- Occupational diseases — listed in Schedule III

#### 2. Caused by ACCIDENT

- Unexpected, unintended occurrence
- Includes:
  - Direct injuries from machinery
  - Strain, heart attacks, strokes during work
  - Even self-inflicted unintentional injuries
- Need not be sudden — gradual injury also covered

#### 3. ARISING OUT OF AND IN THE COURSE OF EMPLOYMENT

This is the **HEART of the Act** — explained in detail below.

### Doctrine of “Arising Out of and In the Course of Employment”

This phrase has **two limbs** — both must be satisfied.

#### (a) “Arising out of employment”

This means the **CAUSE or origin** of the injury must be in the employment.

There must be a **CAUSAL CONNECTION** between work and accident.

### Tests:

- If the work **increased the risk** of injury → satisfied
- Even if injury partly due to natural causes, if **work aggravated it** → covered
- Burden on worker to show some connection
- Burden on employer to disprove if disputed

⚖️ **Case:** *Mackinnon Mackenzie & Co. v. Ibrahim Mohammed Issak (1969)* — Seaman died of heart attack on duty. SC held employer liable as work conditions (stress, hours) contributed to heart condition.

⚖️ **Case:** *Jyothi Ademma v. Plant Engineer, NTPC (2006)* — Death due to cardiac arrest during work hours = compensable.

### *(b) "In the course of employment"*

This refers to the **TIME, PLACE, and CIRCUMSTANCES** of the accident. The worker must be **on duty** or doing something **incidental to duty**.

### Components:

- **Time** — during working hours or notional extension
- **Place** — at workplace or its reasonable extension
- **Activity** — work-related or incidental thereto

**Working hours and workplace** are obvious cases. But the doctrine extends through:

### Doctrine of Notional Extension

The doctrine extends "**course of employment**" to:

- Reasonable approach to workplace
- Reasonable departure from workplace
- Employer-provided transport
- Employer-related risks outside immediate workplace

⚖️ **Case:** *Saurashtra Salt Manufacturing Co. v. Bai Valu Raja (1958)* — Workers drowned while crossing creek to reach work; held compensable under notional extension.

⚖️ **Case:** *B.E.S.T. Undertaking v. Mrs. Agnes (1964)* — Bus conductor killed while travelling home in BEST bus; held to be in course of employment.

### Doctrine of Added Peril

When a worker does something **not strictly part of his duty** but **related to it**, increasing the risk — the employer is still liable. But if the worker undertakes a **totally extraneous risk** for personal purpose, the employer is NOT liable.

📌 **Example:**

- Worker climbs a high crane out of curiosity and falls → **added peril; NOT compensable**
- Worker climbs to fix a part of the crane during a breakdown → **compensable** (in employer's interest)

### Personal Injury & Accident — Meaning

- **Personal Injury:** Includes physical injury, psychological trauma (nervous shock), and occupational diseases (Schedule III)
- **Accident:** An unexpected, unintended occurrence — even strain or stress at work can qualify (heart attacks, strokes covered as accidents)

### Exceptions to Liability [Proviso to Section 3(1)]

Employer is NOT liable when:

- **Disablement** does not exceed 3 days
- Injury (NOT death/PTD) caused by:
  - Worker being **under influence of alcohol/drugs**
  - **Wilful disobedience** of safety rules expressly imposed
  - **Wilful removal** or disregard of safety devices

**IMPORTANT:** These exceptions DO NOT apply where the result is **DEATH** or **PERMANENT TOTAL DISABLEMENT** — employer is liable in such cases regardless of worker's contributory negligence.

### Quantum of Compensation [Section 4]

- **Death:**  $50\% \times \text{monthly wage} \times \text{relevant factor (Schedule IV)}$  OR Rs.1,20,000 — whichever HIGHER
- **PTD:**  $60\% \times \text{monthly wage} \times \text{relevant factor}$  OR Rs.1,40,000 — whichever HIGHER
- **PPD:** Percentage of total compensation based on Schedule I
- **Temporary Disablement:** 25% of monthly wage as half-monthly payment (max 5 years)

Wage ceiling for calculation: **Rs.15,000/month**.

### Procedure for Claim

- Worker (or dependants) sends notice of accident to employer
- Employer responds; if no agreement → application to **COMMISSIONER FOR EMPLOYEE'S COMPENSATION**
- Commissioner adjudicates
- Appeal lies to High Court
- **Limitation: 2 years** from accident or death

### Penalty for Delayed Payment [Section 4-A]

- If employer doesn't pay within 1 month → **12% simple interest per annum**
- Additional penalty up to **50% of compensation**, if Commissioner finds unjustified delay

## Important Case Laws

🏛️ **Case:** *Saurashtra Salt v. Bai Valu Raja (1958)* — Notional extension doctrine recognized.

🏛️ **Case:** *Mackinnon Mackenzie v. Ibrahim (1969)* — Heart attack on duty compensable.

🏛️ **Case:** *B.E.S.T. v. Mrs. Agnes (1964)* — Doctrine of notional extension authoritatively recognized.

🏛️ **Case:** *Jyothi Ademma v. NTPC (2006)* — Cardiac death at work compensable.

🏛️ **Case:** *Pratap Narain Singh Deo v. Srinivas Sabata (1976)* — Compensation falls due from date of accident.

## Conclusion

The Employees' Compensation Act, 1923 stands as the **cornerstone** of India's social security framework. The doctrine of **"arising out of and in the course of employment"**, expanded through judicial interpretation by the **doctrines of notional extension and added peril**, ensures broad protection for workers. By imposing **NO-FAULT LIABILITY**, the Act recognises that industrial accidents are a **price of progress** to be shared by all stakeholders. The **Code on Social Security, 2020** has now consolidated this Act with other welfare legislations, but its essential principles continue to govern the rights of injured workers in India. The Act fulfils India's constitutional commitment under **Articles 39, 41, and 42** to social and economic justice.

## B.2 — ESI Act 1948 — Objectives, Application & Benefits



### Introduction

The **Employees' State Insurance Act, 1948** is a pioneering piece of **social security legislation** in India. Based on the recommendations of the **B.P. Adarkar Committee (1944)**, it provides **COMPULSORY health insurance** and **CASH BENEFITS** to industrial workers in case of sickness, maternity, employment injury, and death. It implements the principle of **pooled risk** — workers, employers, and the State contribute to a common fund. The ESI scheme was inaugurated on **24 February 1952** at Kanpur and Delhi by Prime Minister Pandit Jawaharlal Nehru.

### Objectives of the ESI Act

- Provide **medical care** to industrial workers and their families
- **Compensate workers** for loss of wages during sickness, maternity, or injury
- Give **protection** against permanent disablement or death from employment injury
- Implement **Articles 39, 41, and 42** of the Constitution (social security as

Directive Principle)

- Establish the **Employees' State Insurance Corporation (ESIC)** to administer the scheme
- Replace the older Employees' Compensation Act for covered workers (no double coverage)

## Application of the Act [Section 1]

### *Coverage of Establishments*

- All **FACTORIES** using power and employing **10+ persons**
- Factories without power employing **20+ persons**

### *Extended Coverage*

Through government notification, extended to:

- **Shops**
- **Hotels, restaurants**
- **Cinemas, theatres**
- **Road transport undertakings**
- **Newspaper establishments**
- **Private medical and educational institutions**
- **Construction establishments**

### *Wage Ceiling for Coverage*

- Employees drawing wages up to **Rs.21,000/month** are covered
- For persons with disability: **Rs.25,000/month**
- Above this, employees are not covered under ESI

### *Exclusions*

- **Seasonal factories** (under certain conditions)
- Establishments employing less than the prescribed number
- Apprentices and casual workers (limited exceptions)

## Administrative Authorities

- **Employees' State Insurance Corporation (ESIC)** — central body
- **Standing Committee** — executive body of ESIC
- **Medical Benefit Council** — advises on medical benefit administration
- **Regional Boards and Local Committees**
- **Employees' Insurance Court** — for adjudication of disputes

## Contribution to ESI Fund [Section 39]

- **Employer's contribution: 3.25%** of wages
- **Employee's contribution: 0.75%** of wages
- **Employees earning less than Rs.176 per day** are **EXEMPT** from contribution but still entitled to benefits
- **State governments** contribute **1/8th** of the medical benefit expenditure
- Contributions paid monthly to ESIC

## BENEFITS UNDER THE ESI ACT [Section 46]

The Act provides for **SIX major benefits**:

### 1. Medical Benefit [Section 56]

- **Full medical care** for insured persons AND their family members
- Includes:
  - Outpatient treatment
  - Inpatient hospitalisation
  - Specialist consultation
  - Free supply of medicines
  - Ambulance services
  - Super-specialty treatment
- ESIC operates **150+ hospitals** and **1,500+ dispensaries** in India

 **Example:** A factory worker suffering from a heart problem can get angioplasty done at ESIC hospital free of cost.

### 2. Sickness Benefit [Section 49]

- **Cash compensation** when worker is unable to work due to sickness
- **70% of average daily wage** for up to **91 days** in any 2 consecutive benefit periods
- **Extended Sickness Benefit** for 34 long-term diseases (TB, cancer, leprosy, etc.) — up to **2 years at 80%** of daily wage
- **Enhanced Sickness Benefit** for sterilisation operations

### 3. Maternity Benefit [Section 50]

- Payment of full wages for **26 WEEKS** (extended from 12 weeks)
- For **miscarriage** — 6 weeks
- For **medical termination** — 6 weeks
- **Extra 1 month** at 100% wages for medical complications

### 4. Disablement Benefit [Section 51]

**Temporary Disablement:**

- **90% of wages** as long as disablement lasts
- No minimum service requirement

**Permanent Disablement:**

- **90% of wages** as **monthly pension for life**
- Based on **loss of earning capacity** assessed by Medical Board

### 5. Dependants' Benefit [Section 52]

- Paid to dependants of a worker who **dies due to employment injury**
- **90% of wages** as monthly pension to:
  - **Widow** (for life or until remarriage)
  - **Children** (until 25 years of age)



- **Parents** (under conditions)

#### 6. *Funeral Expenses* [Section 46(1)(f)]

- Lump sum of **Rs.15,000** payable to eldest surviving family member for funeral

#### Additional Benefits (Not in Section 46)

- **Rajiv Gandhi Shramik Kalyan Yojana** — Unemployment allowance for involuntarily unemployed workers
- **Atal Beemit Vyakti Kalyan Yojana** — Relief during unemployment
- **Vocational rehabilitation** for permanently disabled
- **Confinement expenses** for women in non-ESI areas

#### Adjudication of Disputes [Section 75]

- Disputes are decided by the **Employees' Insurance Court**
- **Civil courts have NO jurisdiction**
- Disputes covered:
  - Whether person is “employee” under ESI
  - Whether establishment is covered
  - Benefit eligibility, quantum, period
  - Contribution disputes
- Appeal lies to the **High Court** on questions of law within 60 days

#### Important Case Laws

🏛️ **Case:** *Royal Talkies, Hyderabad v. ESIC (1978)* — SC gave a wide interpretation to ‘employee’ and ‘establishment’; covered canteen workers, cycle stand workers.

🏛️ **Case:** *ESIC v. F. Fibre Bangalore Pvt. Ltd. (1997)* — Mere control test is not the only criterion to determine employment under ESI.

🏛️ **Case:** *Hyderabad Race Club v. ESIC (1990)* — Wide interpretation of ‘establishment’ to cover modern services.

🏛️ **Case:** *ESI Corporation v. Hotel Kalpaka International (1993)* — Hotel employees covered; benefit-oriented interpretation.

#### Conclusion

The ESI Act, 1948 is **one of the FINEST examples** of welfare legislation in India. It implements India’s commitment to social security under **Articles 39, 41, and 42**. With its **tripartite financing** and **comprehensive benefit structure**, it covers crores of workers and their family members. The **Code on Social Security, 2020** has now subsumed the ESI Act, but the basic structure and benefits continue. The challenge ahead is to **extend ESI** to the vast unorganised sector and gig economy workers — fulfilling the dream of universal health and social insurance for all of India’s workforce.

## B.3 — Concept of Social Security & Legislations in India



### Introduction

**Social security** is the cornerstone of a welfare state. It represents the **collective commitment of society** to protect its members against the economic and social distress caused by life's contingencies. India, drawing inspiration from international experiences and rooted in its constitutional vision under the **Directive Principles of State Policy**, has developed a comprehensive framework of social security legislations over the past century.

### Definition of Social Security

**ILO Definition:** Social security is the **protection society provides** for its members through a series of public measures against the **economic and social distress** that would otherwise be caused by:

- **Sickness**
- **Injury** (especially employment injury)
- **Old age**
- **Unemployment**
- **Maternity**
- **Death** of breadwinner
- **Disablement**

**Beveridge Definition (1942):** Social security means securing the income necessary to maintain people's livelihood, plus addressing want, disease, ignorance, squalor, and idleness — known as the "Five Giants."

### Constitutional Basis in India

- **Article 39(a):** Adequate means of livelihood for all citizens
- **Article 39(e):** Health and strength of workers not abused
- **Article 41:** Right to work, education, and public assistance in cases of unemployment, old age, sickness, disablement
- **Article 42:** Just and humane conditions of work, and maternity relief
- **Article 43:** Living wage, decent standard of life
- **Article 21:** Right to life with dignity (judicial extension)

### Components of Social Security

#### 1. Social Insurance

- **Contributory** — employer + employee + State
- Linked to employment
- Benefits as a right
- Examples: ESI, EPF, Maternity Benefit, Gratuity

#### 2. Social Assistance

- **Non-contributory** — funded by government revenue

- Need-based (means-tested)
- Targets poor and vulnerable
- Examples: Old Age Pension, MGNREGA, PDS

## Evolution of Social Security in India

### *Pre-Independence Era*

- **Whitley Commission (1929-31)** recommended workers' welfare
- **Workmen's Compensation Act, 1923** — first major social security law
- **Maternity Benefit Acts** in various provinces (1929 onwards)
- **B.P. Adarkar Committee (1943-44)** — health insurance plan
- **Trade Disputes Act, 1929**

### *Post-Independence Foundation (1947-60)*

- **Constitution adopted (1950)** — DPSP framework
- **ESI Act, 1948** — health insurance for industrial workers
- **Factories Act, 1948** — safety, health, welfare
- **Minimum Wages Act, 1948**
- **EPF Act, 1952** — provident fund

### *Expansion Era (1960-90)*

- **Maternity Benefit Act, 1961**
- **Payment of Bonus Act, 1965**
- **Payment of Gratuity Act, 1972**
- **Equal Remuneration Act, 1976**

### *Modernization Era (1990-2020)*

- **National Old Age Pension Scheme**
- **MGNREGA, 2005**
- **Unorganised Workers' Social Security Act, 2008**
- **Right to Education Act, 2009**

### *Codification Era (2020-present)*

- **Code on Social Security, 2020** — consolidates 9 social security laws
- **Code on Wages, 2019**
- **Industrial Relations Code, 2020**
- **Occupational Safety, Health and Working Conditions Code, 2020**

## Major Social Security Legislations in India

### *1. Employees' Compensation Act, 1923*

- Compensation for workplace injuries
- No-fault liability
- Coverage: factories, mines, plantations, etc.

### *2. Employees' State Insurance Act, 1948*

- Health insurance + cash benefits
- Tripartite contribution

- Six benefits: medical, sickness, maternity, disablement, dependants', funeral

### *3. EPF & Miscellaneous Provisions Act, 1952*

- Three schemes: PF, Pension, EDLI
- Retirement security

### *4. Maternity Benefit Act, 1961 (Amended 2017)*

- 26 weeks paid leave
- Crèche facility
- Medical bonus

### *5. Payment of Gratuity Act, 1972*

- Lump-sum on retirement
- Maximum Rs.20 lakh
- 5+ years service required

### *6. Unorganised Workers' Social Security Act, 2008*

- Coverage for unorganized sector
- Welfare schemes registration

### *7. Code on Social Security, 2020*

- Consolidates 9 social security laws
- Extends to unorganized workers
- Includes gig and platform workers

### **Social Assistance Schemes**

- **Indira Gandhi National Old Age Pension Scheme (IGNOAPS)** — Rs.200 -500/month
- **Indira Gandhi National Widow Pension Scheme**
- **Indira Gandhi National Disability Pension Scheme**
- **National Family Benefit Scheme** — Rs.20,000 lump sum
- **MGNREGA** — 100 days guaranteed employment
- **PM-KISAN** — Rs.6,000/year for farmers
- **Antyodaya Anna Yojana**

### **International Framework**

- **ILO Convention 102 (1952)** — Minimum standards of social security
- **Universal Declaration of Human Rights, 1948** — Article 22
- **International Covenant on Economic, Social and Cultural Rights, 1966**
- **G20, BRICS** — coordination on social security

### **Achievements**

- Comprehensive legal framework
- Multiple implementing institutions
- Wide coverage of organized sector
- Health insurance through ESI

- Retirement security through EPF
- Recent extension to unorganized sector

### Challenges

- **Unorganized sector** — over 90% of workforce, limited coverage
- **Gig economy workers** — outside traditional framework
- **Implementation gaps** in rural areas
- **Awareness** issues among workers
- **Funding** constraints in social assistance
- **Coordination** between Centre and States

### Important Case Laws

⚖️ **Case:** *Bandhua Mukti Morcha v. Union of India (1984)* — Right to life includes right to social security.

⚖️ **Case:** *Olga Tellis v. BMC (1985)* — Right to livelihood as part of right to life.

⚖️ **Case:** *State of Punjab v. Ram Lubhaya Bagga (1998)* — Right to health as part of right to life.

⚖️ **Case:** *Consumer Education and Research Centre v. Union of India (1995)* — Health of worker is integral to right to life.

### Conclusion

Social security in India has evolved from **piecemeal welfare measures** to a **comprehensive constitutional commitment**. The legislative framework — anchored in the **Directive Principles** and reinforced by **judicial interpretation** of Article 21 — has progressively expanded to cover diverse risks and worker categories. The **Code on Social Security, 2020** marks a watershed moment, consolidating multiple laws and extending coverage to unorganized and gig workers. However, **universal coverage** and effective implementation remain the major challenges. India must continue this journey to fulfill the constitutional promise of social and economic justice under **Articles 39, 41, 42, and 43**.

## B.4 — Payment of Compensation under EC Act 1923 ★★★★★

### Introduction

The **Employees' Compensation Act, 1923** provides for compensation to workers who suffer injuries arising out of and in the course of employment. **Section 4** of the Act prescribes the **formula and quantum** of compensation, while **Section 4-A** deals with **penalties for default**. This essay examines in detail the framework of compensation under the Act — the categories, formulae, procedure, and consequences of non-payment.

### Statutory Basis

- **Section 4** — Amount of compensation
- **Section 4-A** — Penalty for default

- **Schedule I** — Loss of earning capacity for partial disablement
- **Schedule IV** — Relevant factors (age-based multipliers)

## Categories of Compensation

The Act categorizes compensation based on the **nature of injury** suffered:

### 1. Death

**Formula:**

 **Compensation = 50% × Monthly Wage × Relevant Factor (Schedule IV), OR Rs.1,20,000 — WHICHEVER IS HIGHER**

Plus:

- **Funeral expenses** of Rs.5,000 (paid separately to dependants)

### 2. Permanent Total Disablement (PTD)

**Formula:**

 **Compensation = 60% × Monthly Wage × Relevant Factor, OR Rs.1,40,000 — WHICHEVER IS HIGHER**

PTD = injuries listed in Schedule I as causing total incapacity (e.g., loss of both eyes, severe brain injury).

### 3. Permanent Partial Disablement (PPD)

**Formula:**

 **Compensation = Percentage of total disablement compensation × Percentage of earning capacity lost (Schedule I)**

Examples from Schedule I:

- Loss of arm at shoulder — 90% of total compensation
- Loss of arm above elbow — 70%
- Loss of leg above knee — 70%
- Loss of eye — 30%
- Loss of thumb — 30%
- Loss of index finger — 14%

### 4. Temporary Disablement (TD)

**Formula:**

 **25% of monthly wage as half-monthly payment**

- Payable until recovery
- **Maximum 5 years**
- If worker recovers earlier, payments stop
- If recovery doesn't happen in 5 years, may convert to PTD/PPD

## Wage Ceiling

- Monthly wage for calculation **capped at Rs.15,000**
- If actual wage is higher, treated as Rs.15,000
- If lower, actual wage used
- The ceiling may be revised by Central Government notification

## Schedule IV — Relevant Factors

- **Age-based multipliers** that decrease with age
- Younger workers get higher factors (more remaining working life)
- Examples:
  - Age 16-19: Factor around 219-220
  - Age 25: Factor around 207
  - Age 40: Factor around 175
  - Age 55: Factor around 110
  - Age 65: Factor around 60

## Compensation for Death — Detailed

### Calculation

For a worker aged 30 dying at workplace with monthly wage Rs.15,000:

- Relevant factor (age 30): say 207
- Compensation:  $50\% \times \text{Rs.15,000} \times 207 = \text{Rs.15,52,500}$
- Compare with Rs.1,20,000 — higher is paid
- **Compensation payable: Rs.15,52,500**

### Beneficiaries

Compensation paid to **dependants** as defined in Section 2(1)(d):

- **Class I:** Widow, minor legitimate child, unmarried legitimate daughter, widowed mother
- **Class II:** Sons/daughters over 18 (if dependent), brothers/sisters (if dependent), grandparents

### Distribution

- Among dependants per Commissioner's order
- Generally equally among Class I
- Class II only if no Class I

## Compensation for PTD — Detailed

### Calculation

For a worker aged 30, PTD, with monthly wage Rs.15,000:

- Relevant factor: 207
- Compensation:  $60\% \times \text{Rs.15,000} \times 207 = \text{Rs.18,63,000}$
- Compare with Rs.1,40,000 — higher is paid

- **Compensation payable: Rs.18,63,000**

#### *Payable To*

- Worker directly (during his lifetime)
- Lump sum amount

### **Compensation for PPD — Detailed**

#### *Calculation*

Worker loses index finger (14% loss per Schedule I):

- Hypothetical PTD compensation: Rs.18,63,000
- Actual PPD compensation:  $14\% \times \text{Rs.18,63,000} = \text{Rs.2,60,820}$

### **Compensation for Temporary Disablement**

#### *Calculation*

Worker temporarily disabled, monthly wage Rs.15,000:

- Half-monthly payment:  $25\% \times \text{Rs.15,000} = \text{Rs.3,750}$
- Paid every 15 days
- Continues until recovery (max 5 years)

### **Payment Procedure**

#### *Deposit with Commissioner*

- Compensation calculated and **deposited with the Commissioner for Employee's Compensation**
- Commissioner distributes to dependants/worker
- Direct payment to worker valid only with Commissioner's permission

#### *Order of Commissioner*

- Determines amount
- Identifies beneficiaries
- Orders distribution
- Records reasons

### **Section 4-A — Penalty for Default**

If employer fails to pay within **1 month** of becoming due:

#### *Interest*

- **Simple interest at 12% per annum — MANDATORY**
- From date compensation became due
- Until actual payment

#### *Penalty*

- Up to **50% of compensation** — DISCRETIONARY
- Imposed by Commissioner if delay is unjustified



- Order with reasons
- Employer given opportunity of hearing

### Recovery

If unpaid:

- Commissioner issues **recovery certificate to Collector**
- Recovered as **ARREARS OF LAND REVENUE**
- Property attachment, bank account freeze, asset sale

### Time Limit for Claim

- Worker/dependants must file claim within **2 YEARS** from:
  - Date of accident (for living worker)
  - Date of death (for dependants)
- Extendable on sufficient cause

### Important Case Laws

⚖️ **Case:** *Pratap Narain Singh Deo v. Srinivas Sabata (1976)* — Compensation falls due from date of accident; interest payable from then.

⚖️ **Case:** *Ved Prakash Garg v. Premi Devi (1997)* — 50% penalty applicable in clear non-compliance cases.

⚖️ **Case:** *Oriental Insurance v. Mohd. Nasir (2009)* — Insurance company stands in employer's shoes for payment.

⚖️ **Case:** *Saurashtra Salt v. Bai Valu Raja (1958)* — Notional extension applied for payment.

### Conclusion

Section 4 of the Employees' Compensation Act, 1923 provides a **comprehensive framework** for computing compensation across various categories of injuries. The use of **statutory formulae**, **age-based multipliers** (Schedule IV), and **schedule of losses** (Schedule I) ensures **uniform, predictable, and fair compensation**. The mandatory **12% interest** and **50% penalty** under Section 4-A serve as strong deterrents against employer delays. The procedure of **deposit with Commissioner** and **recovery as land revenue** ensures workers' rights are not theoretical. Together, these provisions implement India's constitutional vision of **social and economic justice** under **Articles 39 and 41**, ensuring that injured workers and bereaved families receive timely and adequate compensation.

## PART C — PROBLEM QUESTIONS (10 marks each)

💡 **TIP FOR PART C:** Always use IRAC method:

- Issue — what is the legal question?

- Rule — what law/section applies?
- Application — apply law to facts
- Conclusion — clear yes/no answer

## C.1 — Is a Licensed Porter at Railway Station an Employee under EC Act 1923? ★★★★★

### Facts

A licensed porter works at a railway station and seeks coverage as an “employee” under the Employees’ Compensation Act, 1923, after suffering injury during work.

### Issue

Whether a licensed porter satisfies the definition of “employee” under Section 2(1)(dd) of the Employees’ Compensation Act, 1923?

### Rule (Applicable Law)

- **Section 2(1)(dd) of EC Act, 1923** — definition of “employee”
- **Schedule II** — list of persons included as employees, which expressly mentions persons employed in connection with **railways operations**
- Tests applied by courts:
  - Is the work connected to railway operations?
  - Did injury occur during such work?
  - Is the worker integrated with the railway system (control test + integration test)?
- A direct wage-relationship is NOT required if the worker is integrated with the establishment

### Application

- A LICENSED PORTER is granted a license by the railway administration
- He works within the station premises **under railway control**
- His functions (carrying passengers’ luggage) are **integral to railway operations**
- **Schedule II expressly covers** persons employed in connection with railway operations
- Although not on payroll, his license + control + integration with railway operations bring him within “employee” definition
- The benefits-oriented interpretation favours worker
- The Whitley Commission’s vision of broad worker protection supports this interpretation

### Case Laws

🏴 Case: *Union of India v. Mrs. Noor Jahan (1979)* — A licensed porter was held to be a “workman” under the Act because his work was incidental to railway operations and he worked under railway control even though not on payroll.

⚖️ **Case:** *Western India Match Co. v. Workmen* (1973) — Employer-employee relationship can exist even without direct payment of wages, where there is control and integration.

⚖️ **Case:** *Dharangadhra Chemical Works v. State of Saurashtra* (1957) — SC laid down the “control test” — degree of control by employer over the manner of work determines employment.

## Conclusion

**YES**, a licensed porter working at a railway station **IS an “employee”** under the Employees’ Compensation Act, 1923. The license confers a status **closely integrated with railway operations**, bringing him within Schedule II. If he suffers injury arising out of and in the course of employment, he is entitled to compensation from the railway administration.

The porter can:

- File application before **Commissioner for Employee’s Compensation**
- Claim compensation per Section 4 formula
- Recover with interest if delayed under Section 4-A
- Recovery through Collector as arrears of land revenue if needed

## C.2 — Worker dies of heart attack while operating machinery. Compensable? ★★★★★

### Facts

A factory worker aged 45 dies of a **heart attack while operating a heavy machine** during his shift. Family claims compensation under EC Act, 1923. The employer refuses, arguing heart attack is a natural cause unrelated to employment.

### Issue

Whether death of a worker due to heart attack during working hours is compensable under the EC Act, 1923 as “arising out of and in the course of employment”?

### Rule (Applicable Law)

- **Section 3(1) of EC Act, 1923** — Employer’s liability for injury arising out of and in the course of employment
- Two-part test:
  - **“Arising out of”** — causal connection with work
  - **“In the course of”** — during work time/place
- Work stress/strain that contributes to heart conditions = compensable
- The connection need not be the **SOLE** cause — even partial connection suffices
- Bodily strain at work treated as “accident”

## Application

### *"In the course of employment"*

- Worker was operating heavy machine — clearly **during working hours**
- **At workplace**
- **During his duty**
- This element is **clearly satisfied**

### *"Arising out of employment"*

- Operating heavy machinery involves **physical strain and stress**
- Stress can be **contributory factor** in heart attack
- Even if heart condition was pre-existing, **work conditions may have triggered** or aggravated it
- *Mackinnon Mackenzie v. Ibrahim* (1969) — heart attack on duty compensable
- *Jyothi Ademma v. NTPC* (2006) — cardiac death at work = compensable

### *Burden of Proof*

- Worker's family (dependants) need to show **some nexus**
- Once nexus is shown, burden shifts to employer to disprove
- Employer's argument (natural cause unrelated) does not exclude liability if work contributed

## Case Laws

⚖️ **Case:** *Mackinnon Mackenzie & Co. v. Ibrahim Mohammed Issak* (1969) — SC held seaman's death from heart attack on duty is compensable; work conditions contributed.

⚖️ **Case:** *Jyothi Ademma v. Plant Engineer, NTPC* (2006) — Cardiac death at workplace = compensable.

⚖️ **Case:** *Pratap Narain Singh Deo v. Srinivas Sabata* (1976) — Compensation falls due from date of accident.

⚖️ **Case:** *Indian News Chronicle v. Mrs. Lazarus* (1961) — Heart conditions aggravated by work conditions compensable.

## Calculation of Compensation

Assuming wage Rs.15,000/month, age 45 (factor say 165):

- Compensation:  $50\% \times \text{Rs.15,000} \times 165 = \text{Rs.12,37,500}$
- OR Rs.1,20,000 — whichever HIGHER
- **Compensation payable: Rs.12,37,500**

Plus:

- **Funeral expenses:** Rs.5,000
- **Interest at 12%** if delayed beyond 1 month

- **Penalty up to 50%** if delay unjustified

## Conclusion

**YES**, the death is **COMPENSABLE** under EC Act, 1923. The two-part test is satisfied:

- **“In the course of”**: Death occurred during work, at workplace, on duty
- **“Arising out of”**: Operating heavy machinery causes physical strain; this can contribute to heart attack; even partial work-related causation is sufficient

The family can claim:

- Compensation per Section 4 formula (Rs.12,37,500 in this example)
- Plus Rs.5,000 funeral expenses
- Plus 12% interest if payment delayed
- Through Commissioner for Employee’s Compensation

The employer’s defense that heart attack is “natural” is **NOT valid** — work stress aggravating natural condition is enough for compensation. Case-law consistently holds heart attacks at work compensable.

## C.3 — Worker injured while travelling on company bus from home to work. Compensable? ★★★★★

### Facts

A worker in a factory boards the **company-provided bus** from a designated pickup point near his residence to travel to the factory. **While on the bus, an accident occurs** and the worker is seriously injured. He claims compensation under EC Act, 1923. The employer argues he was not yet “at work” so injury did not arise in the course of employment.

### Issue

Whether injury suffered while travelling on company-provided transport to/from work is compensable under “arising out of and in the course of employment”?

### Rule (Applicable Law)

- **Section 3(1) of EC Act, 1923** — Employer’s liability
- **Doctrine of Notional Extension** — judicially developed
- “Course of employment” extends to:
  - Reasonable approach to workplace
  - Reasonable departure from workplace
  - **Employer-provided transport**
  - Areas under employer’s control or related risks

## Application

### *Strict View (Rejected)*

- Worker was not at workplace
- Was not performing duty
- Was merely commuting

### *Notional Extension View (Applied)*

- Worker was using **employer-provided transport**
- This is a **benefit linked to employment**
- The bus is under employer's control/arrangement
- Risk of accident on company bus is **employer-related risk**
- Worker was on the way to perform duty
- He was acting in connection with employment

### *Three Tests Satisfied*

- **Time test:** Just before reporting; reasonable proximity
- **Place test:** On employer's transport; reasonable extension of workplace
- **Purpose test:** Going to perform duty; clear employment connection

## Case Laws

⚖️ **Case:** *B.E.S.T. Undertaking v. Mrs. Agnes (1964)* — **DIRECTLY ON POINT.** Bus conductor killed while travelling home in BEST bus — held to be in course of employment under notional extension. This is the leading precedent.

⚖️ **Case:** *Saurashtra Salt Manufacturing Co. v. Bai Valu Raja (1958)* — Workers drowned crossing creek to reach work; notional extension applied.

⚖️ **Case:** *General Manager, BEST v. Agnes (1964)* — Doctrine of notional extension authoritatively recognized.

⚖️ **Case:** *Mackinnon Mackenzie v. Ibrahim (1969)* — Work-related injuries broadly interpreted.

## Distinguished from Cases NOT Compensable

### *Not compensable scenarios:*

- Worker on his **own vehicle** to work, accident on public road — not generally compensable
- Worker on a **personal detour** during commute — not compensable
- Worker travelling on **public transport** (not employer-provided) — not generally compensable

### *Compensable here because:*

- **Company-provided** bus (key factor)
- Direct route from designated pickup to factory
- No personal detour
- Clear employer involvement in transport arrangement

## Compensation

Assuming PTD (worker seriously injured but survives), age 35, wage Rs.15,000 (factor 197):

- Compensation:  $60\% \times \text{Rs.}15,000 \times 197 = \text{Rs.}17,73,000$
- OR Rs.1,40,000 — whichever HIGHER
- **Compensation payable: Rs.17,73,000**

## Conclusion

**YES**, the injury is **COMPENSABLE** under EC Act, 1923. The doctrine of **NOTIONAL EXTENSION** clearly applies. The leading case of *B.E.S.T. v. Mrs. Agnes* (1964) directly supports this — injury during employer-provided transport is in the “course of employment.”

The worker can:

- Claim compensation per Section 4 formula
- File application before Commissioner for Employee’s Compensation
- Claim interest at 12% if delayed beyond 1 month
- Seek penalty up to 50% if delay unjustified

The employer’s defense (worker not yet at work) is **rejected** — employer-provided transport is part of employment relationship, and notional extension brings the injury within “course of employment.”

## C.4 — Worker earning Rs.25,000/month. Is he covered under ESI Act? ★★★★★

### Facts

Mr. Verma is a worker in a factory earning **Rs.25,000/month** (basic + DA). He suffers injury at work and claims medical and cash benefits under ESI Act, 1948. The ESI Corporation refuses, citing the wage ceiling.

### Issue

Whether a worker earning more than Rs.21,000/month is covered under the ESI Act, 1948?

### Rule (Applicable Law)

- **Section 2(9) of ESI Act, 1948** — Definition of “employee”
- Employee must draw wages **not exceeding Rs.21,000/month**
- For **persons with disability**: ceiling is **Rs.25,000/month**
- Above the ceiling = NOT covered under ESI
- Ceiling may be revised by Central Government notification
- Wage = Basic + DA (excludes HRA, conveyance, etc.)

### Application

- Mr. Verma earns Rs.25,000/month — **ABOVE** the Rs.21,000 ceiling

- Therefore, **NOT COVERED** under ESI Act, 1948
- Unless he is a person with disability — then Rs.25,000 ceiling applies (he is at the limit)
- His designation (worker/supervisor/clerk) is **immaterial** — only wage matters
- His service duration is **immaterial**
- ESI Corporation's refusal is **legally correct**

## Alternative Coverage Available

### 1. *Employees' Compensation Act, 1923*

- If Mr. Verma's establishment is covered under EC Act, he can claim under that
- EC Act wage ceiling is Rs.15,000/month for calculation (but worker still eligible)
- Direct compensation from employer
- For injury arising out of and in course of employment

**Note:** EC Act and ESI Act are **MUTUALLY EXCLUSIVE** — covered worker under ESI cannot claim under EC Act and vice versa. Since Mr. Verma is NOT covered under ESI (above wage ceiling), he CAN claim under EC Act.

### 2. *Private Health Insurance*

- If employer provides group health insurance
- Personal mediclaim policy
- These are private contracts

### 3. *Contractual Benefits*

- Sick leave with pay
- Medical reimbursement
- These may be part of employment contract

### 4. *State Health Schemes*

- Some State health schemes cover all residents
- E.g., Arogyasri in Andhra Pradesh

## Case Laws

⚖️ **Case:** *Royal Talkies, Hyderabad v. ESIC (1978)* — Wage ceiling strictly applied for coverage.

⚖️ **Case:** *ESIC v. F. Fibre Bangalore (1997)* — Worker definition based on wage limit.

⚖️ **Case:** *Hyderabad Race Club v. ESIC (1990)* — ESI applies based on statutory criteria.



## Special Situations

### *What if Verma was Earning Rs.20,000?*

- Covered under ESI
- Employer contributes 3.25% = Rs.650/month
- Employee contributes 0.75% = Rs.150/month
- All six ESI benefits available
- Free medical care, sickness benefit, etc.

### *What if Verma is Disabled?*

- Wage ceiling raised to Rs.25,000/month
- He just meets the ceiling (Rs.25,000)
- Likely COVERED under ESI as a person with disability

### *What if Wage Drops Below Rs.21,000 Mid-year?*

- Coverage continues for current contribution period
- New contribution period begins per cycle
- Coverage extends until next assessment

## Conclusion

**NO**, Mr. Verma earning Rs.25,000/month is **NOT covered** under the ESI Act, 1948. His wage exceeds the **Rs.21,000 eligibility ceiling** under Section 2(9). ESI Corporation's refusal is legally correct.

However, Mr. Verma has alternatives:

- **EC Act, 1923** — for workplace injury (since not under ESI, he can claim under EC Act)
- **Employer-provided health benefits** (if any)
- **Personal health insurance**
- **State health schemes**

If he is a **person with disability**, the ceiling extends to Rs.25,000 — he may be just within coverage. Verification of disability status would resolve this.

**Key Principle:** ESI and EC Act are mutually exclusive — workers above ESI wage limit fall back on EC Act for workplace injury compensation.

## C.5 — Employer fails to pay compensation within 1 month. Consequences? ★★★★★

### Facts

A worker was injured at workplace on **15 March 2024** and is entitled to **Rs.5 lakh** compensation under EC Act, 1923. The Commissioner ordered payment on **1 April 2024**. The employer **fails to pay** and continues to delay, citing "internal procedures." The worker (still suffering) seeks remedies. By **December 2024**, the amount is still unpaid.

## Issue

What are the consequences for an employer who fails to pay compensation within the prescribed time under EC Act, 1923? What remedies are available to the worker?

## Rule (Applicable Law)

- **Section 4 of EC Act, 1923** — Payment of compensation
- **Section 4-A of EC Act, 1923** — Penalty for default
- Compensation falls due **as soon as it accrues**
- Must be paid within **1 month** of becoming due
- For delayed payment:
  - **Interest at 12% per annum** (mandatory)
  - **Penalty up to 50% of compensation** (discretionary)
- **Section 31** — Recovery as arrears of land revenue

## Application

### Timeline Analysis

- **15 March 2024** — Date of accident; compensation accrues
- **1 April 2024** — Commissioner's order
- **1 May 2024** — Deadline for payment (1 month after due)
- **December 2024** — Still unpaid (7 months delay beyond deadline)

### Penalty for Default

#### 1. Mandatory Interest (Section 4-A):

- **12% simple interest per annum**
- From date compensation became due (15 March 2024 or 1 April 2024 per Commissioner's order)
- Until actual payment
- For 8 months of delay:  $\text{Rs.5 lakh} \times 12\% \times 8/12 = \text{Rs.40,000}$  interest

#### 2. Discretionary Penalty:

- Up to **50% of compensation**
- Commissioner finds delay unjustified ("internal procedures" is no excuse)
- Likely to impose penalty
- Could be up to  $50\% \times \text{Rs.5 lakh} = \text{Rs.2,50,000}$

### Total Liability

- Compensation: Rs.5,00,000
- Interest (approx.): Rs.40,000
- Penalty (if 50%): Rs.2,50,000
- **Total: Rs.7,90,000+**

## Remedies for the Worker

### 1. Application to Commissioner

- File application showing default
- Request interest and penalty determination
- Commissioner gives hearing to employer
- Order with reasons

### 2. Recovery as Arrears of Land Revenue (Section 31)

- Commissioner issues recovery certificate to **Collector**
- Collector recovers as land revenue arrears:
  - **Attachment** of employer's bank accounts
  - **Attachment** of immovable property
  - **Sale** of attached property at auction
  - **Garnishee orders** against debtors

### 3. Criminal Liability

- Section 32 — Penalty for failure to pay compensation
- Imprisonment + fine possible
- For continued default

### 4. Civil Remedies

- Suit in civil court (if not specifically barred)
- Mandamus writ in High Court for enforcement

### 5. Negative Consequences for Employer

- Loss of license/permits in some cases
- Reputational damage
- Industrial unrest
- Worker can approach trade union/Labour Commissioner

## Procedural Requirements

Before imposing penalty:

- **Show-cause notice** to employer
- **Opportunity of hearing** (natural justice)
- **Reasoned order** by Commissioner
- Order can be challenged in appeal

## Case Laws

⚖️ **Case:** *Pratap Narain Singh Deo v. Srinivas Sabata (1976)* — Compensation falls due from date of accident; interest payable from then. Landmark case on Section 4-A.

⚖️ **Case:** *Ved Prakash Garg v. Premi Devi (1997)* — 50% penalty applicable in clear non-compliance; "internal procedures" not a valid defense.

⚖️ **Case:** *Oriental Insurance v. Mohd. Nasir (2009)* — Insurance company also

liable for interest and penalty.

🏴 Case: *Smt. Yallawa v. National Insurance (2009)* — Mandatory interest cannot be denied.

### Why Strict Penalty for Delay?

- Worker is often the **sole breadwinner**
- Injured worker faces **immediate financial distress**
- Time value of compensation is critical
- Delay defeats purpose of social security
- Strong deterrent needed against employer indifference

### Conclusion

**Severe consequences** flow from the employer's failure to pay compensation within 1 month:

#### *Financial Consequences*

- **Mandatory interest at 12% per annum** under Section 4-A
- **Discretionary penalty up to 50%** of compensation amount
- Total payable could be 1.5x to 1.6x the original compensation

#### *Recovery Mechanisms*

- **Recovery as arrears of land revenue** through Collector
- Attachment of property, bank accounts
- Sale of assets

#### *Worker's Remedies*

- Application to Commissioner for penalty/interest
- Recovery certificate to Collector
- Criminal complaint under Section 32
- Writ in High Court

#### *Employer's Defenses (Limited)*

- "Internal procedures" is **NOT a valid defense**
- Must show **sufficient cause** for delay
- Genuine dispute about quantum may justify some delay (but original compensation must be paid pending dispute)

The case underscores the **rigorous time-bound nature** of compensation payment. EC Act ensures injured workers and their families are not made to wait. The 12% interest + 50% penalty structure makes timely payment financially prudent for employers.

In Mr. Verma's situation, he can recover **Rs.5,00,000 + Rs.40,000 interest + Rs.2,50,000 penalty = Rs.7,90,000** through Commissioner's order, enforceable as arrears of land revenue.

## UNIT III — QUICK REVISION SHEET

### Key Sections (Unit III Topics)

#### Employees' Compensation Act, 1923

| Section              | Topic                            |
|----------------------|----------------------------------|
| Section 2(1)(dd)     | Definition of employee           |
| Section 2(1)(d)      | Definition of dependant          |
| Section 2(1)(g)      | Definition of wages              |
| Section 3            | Employer's liability             |
| Section 3(1) Proviso | Exceptions to liability          |
| Section 4            | Amount of compensation           |
| Section 4-A          | Penalty for default              |
| Section 31           | Recovery as land revenue arrears |
| Section 32           | Penalty for offences             |
| Schedule I           | List of injuries (PPD)           |
| Schedule II          | List of employees covered        |
| Schedule III         | Occupational diseases            |
| Schedule IV          | Relevant factors (age-based)     |

#### ESI Act, 1948

| Section      | Topic                      |
|--------------|----------------------------|
| Section 2(9) | Definition of employee     |
| Section 3-4  | Constitution of ESIC       |
| Section 39   | Contribution rates         |
| Section 46   | Benefits (six)             |
| Section 49   | Sickness benefit           |
| Section 50   | Maternity benefit          |
| Section 51   | Disablement benefit        |
| Section 52   | Dependants' benefit        |
| Section 56   | Medical benefit            |
| Section 74   | Employees' Insurance Court |
| Section 75   | Jurisdiction of EI Court   |

#### Key Numbers to Remember

| Concept                          | Number               |
|----------------------------------|----------------------|
| EC Act passed                    | 1923                 |
| ESI Act passed                   | 1948                 |
| ESI Scheme inaugurated           | 24 Feb 1952 (Kanpur) |
| B.P. Adarkar Report              | 1944                 |
| ESI factory threshold (power)    | 10+ employees        |
| ESI factory threshold (no power) | 20+ employees        |

| Concept                     | Number                             |
|-----------------------------|------------------------------------|
| ESI wage ceiling            | Rs.21,000/month                    |
| ESI ceiling for disabled    | Rs.25,000/month                    |
| Employer ESI contribution   | 3.25%                              |
| Employee ESI contribution   | 0.75%                              |
| State ESI contribution      | 1/8th of medical expenses          |
| Exemption from contribution | Below Rs.176/day                   |
| EC Act wage ceiling         | Rs.15,000/month                    |
| EC Act — Death formula      | 50% × wage × factor OR Rs.1.2 lakh |
| EC Act — PTD formula        | 60% × wage × factor OR Rs.1.4 lakh |
| EC Act — Temporary          | 25% of wage, half-monthly          |
| EC Act — Time limit         | Within 1 month of due              |
| EC Act — Interest           | 12% per annum                      |
| EC Act — Penalty            | Up to 50%                          |
| EC Act — Limitation         | 2 years                            |
| Sickness Benefit            | 70% wages, 91 days                 |
| Extended Sickness           | Up to 2 years, 80%                 |
| Maternity Benefit           | 26 weeks, full wages               |
| Permanent Disability        | 90% wages, lifelong                |
| Dependants' Benefit         | 90% wages                          |
| Funeral Expenses            | Rs.15,000 (ESI); Rs.5,000 (EC Act) |
| Schedule III - Part A       | No period required                 |
| Schedule III - Part B       | 6 months minimum                   |
| Schedule III - Part C       | Longer periods                     |

### Top 12 Cases for Unit III

1. ***Saurashtra Salt Manufacturing v. Bai Valu Raja (1958)*** — Notional extension; creek crossing
2. ***B.E.S.T. Undertaking v. Mrs. Agnes (1964)*** — Conductor in BEST bus; notional extension
3. ***Mackinnon Mackenzie v. Ibrahim (1969)*** — Heart attack on duty compensable
4. ***Pratap Narain Singh Deo v. Srinivas Sabata (1976)*** — Compensation due from date of accident
5. ***Royal Talkies, Hyderabad v. ESIC (1978)*** — Wide interpretation of 'employee'
6. ***Union of India v. Mrs. Noor Jahan (1979)*** — Licensed porter covered
7. ***Ved Prakash Garg v. Premi Devi (1997)*** — 50% penalty for unjustified delay
8. ***Jyothi Ademma v. NTPC (2006)*** — Cardiac death at workplace
9. ***Dharangadhra Chemical Works v. Saurashtra (1957)*** — Control test

- for employment
10. *ESIC v. F. Fibre Bangalore (1997)* — Wide employee interpretation
  11. *Indian News Chronicle v. Lazarus (1961)* — Heart attack aggravated by work
  12. *Western India Match Co. v. Workmen (1973)* — Integration test for employment

## Memory Mnemonics

- **Six ESI Benefits: "MSMDDF"** — Medical, Sickness, Maternity, Disablement, Dependants, Funeral
- **Three-fold test (EC Act):** "Personal Injury + Accident + Out & In of Employment"
- **Notional Extension Tests:** "Time + Place + Purpose"
- **EC Act Compensation:** "Death 50%/1.2L; PTD 60%/1.4L; TD 25% half-monthly"
- **ESI Contribution:** "Employer 3.25%; Employee 0.75%; State 1/8th"
- **Schedule III:** "Part A — No period; Part B — 6 months; Part C — Longer"
- **Section 4-A:** "12% Interest Mandatory + 50% Penalty Discretionary"
- **B.P. Adarkar Years:** "1943 appointed, 1944 report, 1948 Act, 1952 scheme"

## Top Trap Questions

- **"Heart attack at workplace?"** → COMPENSABLE (Mackinnon, Jyothi Ademma)
- **"Injured on company bus?"** → COMPENSABLE (BEST v. Agnes; notional extension)
- **"Worker drinking, injured?"** → NOT compensable for ordinary injury; STILL compensable for death/PTD
- **"Worker Rs.25,000 + ESI?"** → NOT covered (above Rs.21,000)
- **"Employer delays compensation?"** → 12% interest + up to 50% penalty
- **"Licensed porter at railway?"** → COVERED as employee
- **"Occupational disease without accident?"** → COMPENSABLE via Schedule III
- **"Worker dies at home from work-related illness?"** → Possibly compensable if work caused/contributed

## Key Differentiators

### EC Act vs. ESI Act

| Feature      | EC Act 1923                   | ESI Act 1948                              |
|--------------|-------------------------------|-------------------------------------------|
| Coverage     | Factories, mines, plantations | Factories with 10+ (power)/20+ (no power) |
| Wage ceiling | Rs.15,000 calc                | Rs.21,000 eligibility                     |
| Funding      | Employer alone                | Tripartite (3.25% + 0.75% + State)        |

| Feature          | EC Act 1923   | ESI Act 1948                        |
|------------------|---------------|-------------------------------------|
| Scope            | Injury only   | 6 benefits (medical, cash)          |
| Adjudication     | Commissioner  | EI Court                            |
| Mutual exclusion | Not under ESI | Replaces EC Act for covered workers |

#### Social Insurance vs. Social Assistance

| Feature     | Social Insurance   | Social Assistance        |
|-------------|--------------------|--------------------------|
| Funding     | Contributions      | Government revenue       |
| Eligibility | Membership         | Need-based               |
| Examples    | ESI, EPF, Gratuity | Old Age Pension, MGNREGA |

*End of Unit III — Social Security, EC Act 1923, ESI Act 1948 / Labour Law-II / Osmania University LLB 3-YDC IV Semester*